Diageo plc (LSE: DGE)

Rating: HOLD | Fair value 1,544.8p | Share price 1,673p (12 Oct 2026) | Upside -7.7%

Engine rating (`valuation.json`); no PM override. **The HOLD is fragile: SELL starts at 1,505.7p, 39p below fair value.** Any one change flips it: flow-through below 33.6% (we use 46%), return on new investment below 11.7% (13.4%), beta above 0.997 (0.96), WACC above 8.59% (8.46%), or minorities above 4.48% of operating profit (2.566%).

Thesis

- **The price already assumes the recovery is delivered.** At a WACC of 8.46% the DCF gives 1,545p (USD 20.44), 7.7% below the 1,673p share price. The market is pricing a WACC of about 8.1%.
- **Self-help is the whole profit story.** Organic net sales fell 2.0% in FY26 and North America fell 8.4%. The c.USD 1,000m savings plan drives profit growth; our 46% flow-through matches the low end of FY27-29 guidance, with no cushion.
- **The balance sheet limits the upside.** Leverage is 3.14x against a 2.5-3.0x target and the dividend has been cut. Disposal proceeds (USD 3,318m gross) had not been received at 30 June 2026.

Valuation

DCF in USD m, valued at 30 June 2026, rolled forward to 12 Oct 2026 at the cost of equity, converted at USD 1.3234 per GBP.

- **Growth path:** base net sales USD 18,505.5m (excluding EABL); organic growth 0.0%, 1.5%, 2.5%, 3.0%, 3.0% (FY27-31).
- **Savings flow-through:** 46% of the cumulative savings (USD 377.5m, 962.5m, then 1,000m) reaches operating profit (PM decision).
- **WACC 8.46%:** risk-free 5.22%, beta 0.96 (industry bottom-up), ERP 5.0%, cost of equity 10.02%; pre-tax cost of debt 6.22% (risk-free + 1%); debt weight 29.4%.
- **Terminal:** growth 2.0%; terminal capex 6.21% of sales, so new investment earns Diageo's FY26 ROIC of 13.4% (forecast years stay at 7.11%).
- **Minorities (PM decision, 13 Oct 2026):** share of operating profit ex-EABL (2.566%) x EV = USD 1,500m, replacing book USD 2,083m, which double counted EABL's 35% minority.

Bridge (USD m): EV 58,448 - net debt 20,482 - minorities 1,500 - restructuring cash 850 + associates 5,284 + disposal proceeds 3,318 = equity 44,219 at 30 June; 45,427 at 12 Oct; 2,222m shares = **1,545p**. Terminal value is 74.9% of EV; exit multiple 9.2x FY31 EBITDA. The bear scenario (no growth, 25% flow-through, WACC +1 point) gives 1,108.2p (-33.8%, SELL).

Comps (indicative only): median P/E 18.5x on four peers implies 2,311p (range 1,334p to 3,163p); P/E only, two peers press-sourced, so little weight.

Value per share (p)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 7.46%	1,825	1,915	2,021	2,151
WACC 7.96%	1,645	1,714	1,795	1,891
WACC 8.46%	1,491	**1,545**	1,607	1,679
WACC 8.96%	1,358	1,400	1,447	1,502
WACC 9.46%	1,242	1,274	1,311	1,353

Change from the previous run (1,524p, HOLD): proportionate minorities +20p.

Fundamentals

- **Growth has stalled:** organic growth was 6.5% (FY23), -0.6%, 1.7% and -2.0% (FY26). Africa (13.3%) and Latin America & Caribbean (7.7%) grew.
- **Margins compressed:** operating margin before exceptionals fell from 31.1% (FY22) to 28.9% (FY26).
- **Cash improved:** free cash flow rose from USD 2,235m (FY23) to USD 3,211m (FY26), helped by lower capex.
- **Returns fell:** ROIC went from 18.4% (FY23) to 13.4% (FY26); interest cover fell from 13.6x (FY22) to 7.0x (FY26).

Risks

- **Beta:** we use 0.96 (bottom-up). Diageo's own regressions range from 0.60 to 0.77 (best: 0.72, 5y weekly, R-squared 0.15). Beta is the largest lever: 0.72 gives 1,844p (HOLD).
- **Volatility:** 31.6% (1 year) vs 12.5% for the FTSE 100.
- **Drawdown:** maximum -66.8%, from 4,098p (4 Jan 2022) to 1,362p (24 Mar 2026).
- **Leverage:** 3.14x adjusted net borrowings / adjusted EBITDA vs a 2.5-3.0x target.

Bear case and our response

Nine of the eleven single bear changes flip the rating to SELL (below 1,505.7p).

1. **Flow-through: history says most savings are reinvested.** 40% gives 1,526p (HOLD); 33% (Diageo's 2017 "two thirds reinvested" rule) gives 1,504p (SELL by 2p); 25% gives 1,478p. **Response:** 46% follows the low-end-of-guidance rule; PM to respond on the track record.

2. **Terminal returns: ROIC fell 5 points in three years.** RONIC 10.8% (capex 7.07%) gives 1,482p (SELL); RONIC equal to WACC gives 1,392p. **Response:** 13.4% is the lowest ROIC in four years, not a recovery; PM to respond.

3. **No recovery: management missed its 2023-26 targets.** Zero organic growth gives 1,414p (-131p, SELL). **Response:** PM to respond; the path is already the low end of guidance.

4. **Terminal growth 2% vs falling spirits volumes.** 1.5% gives 1,491p (-53p, SELL). **Response:** PM to respond; the IWSR evidence is secondhand.

5. **Cost of capital: leverage after the dividend cut.** A 2.0% credit spread gives 1,478p (-67p); beta 1.00 gives 1,502p (-42p); both SELL. **Response:** 0.96 is above every precise own-regression beta; PM to respond on the spread.

6. **USL minority at market.** USL's outside stake at market (USD 4,450m) plus other minorities at book (USD 1,328m) gives 1,395.3p (-150p, SELL); the flip is at USD 2,619m. **Response:** an upper bound: it prices USL's minority at market but Diageo's own 57.21% at the DCF's 10.8x, and the USD 1,328m still includes EABL's 35%; PM to respond.

Against the bear: beta 0.72 gives 1,844p (+299p), still HOLD; restructuring tax relief adds 7p. Nothing reaches BUY (1,924p).

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.18, p.22, p.85, p.110, p.164, p.186-189, p.210-211, regional reviews pp.27-31; 20-F FY22-FY25 (SEC EDGAR XBRL).
- Diageo Capital Markets Day 6-K, 6 Aug 2026 (SEC accession 0001654954-26-007324): savings plan, guidance, restructuring cash.
- Yahoo Finance (DGE.L in pence, FTSE 100, peer prices, USL price and shares, KES/USD, INR/USD); FRED (DGS10 2026-10-08, DEXUSUK 2026-10-02); Damodaran Online, Betas by Sector (Global), January 2026.
- Non-filing: EABL FY26 results, RCB sale, Pernod Ricard, Campari and Remy Cointreau results, IWSR (press/company). PM decisions: briefs/DGE.yaml (docs/phase3/). Agent outputs: runs/DGE/2026-10-12/.